CEO DECISION REPORT

Financial Diagnostic

Cash Flow & Working Capital Analysis

COMPANY ALPHA

Construction Sector · SRL · Wallonia, Belgium · FY 2024

⚠ CRITICAL RISK LEVEL IDENTIFIED — IMMEDIATE ACTION REQUIRED

01. EXECUTIVE SUMMARY

COMPANY ALPHA · FY2024 · FISCAL YEAR 01/01/2024–31/12/2024

Company Alpha is destroying value on every project it delivers. In FY2024, gross margin turned negative (−€551), operating cash flow before working capital was −€1,445, and equity eroded 24% to a critical 16.5% ratio. The company is entirely financed by unpaid suppliers — not by profit — and faces insolvency within **3.4 months** under stress.

■ **CRITICAL ISSUE 1**

Negative Gross Margin

You lose money on every project. Every additional contract deepens losses.

■ **CRITICAL ISSUE 2**

Zero Safety Net

€7,065 cash vs €26,915 in obligations. No credit line. One client default = insolvency.

■ **CRITICAL ISSUE 3**

Equity in Freefall

Ratio at 16.5% (below 25% alarm threshold). Banks will not lend at this level.

RISK & KEY METRICS

Risk Level	**● CRITICAL**
Cash Runway (stress)	**3.4 months**
Current Ratio	**1.15**
Equity Ratio	**16.5%**
Net Result FY2024	**−€1,713**

TOP 3 ACTIONS — START THIS WEEK

1. Raise all contract prices by minimum **20%** immediately. Stop accepting work with negative margin.
2. Send collection notices Monday. Require **30–50% advance payments** on all new contracts.
3. Apply for **€10–15K bank credit line** this week. You have zero buffer against any shock.

02. 30-DAY ACTION PLAN

OPERATIONAL EXECUTION ROADMAP — PRIORITIZED BY URGENCY AND FINANCIAL IMPACT

TIMELINE	ACTION	FINANCIAL IMPACT	PRIORITY
Week 1–2	Raise prices +20% on all new contracts	Restore GM: −2% → +18%	URGENT
Week 1–2	Send overdue collection notices	Free €6,500–10,800 cash	URGENT
Week 1–2	Apply for €10–15K revolving bank credit line	Extend runway: 3.4 → 12+ mo.	URGENT
Week 3–4	Require 30–50% advance on every new contract	Reduce WC need immediately	URGENT
Month 1–2	Formalize 60–90d AP terms with suppliers	Reduce payment pressure	HIGH
Month 1–2	Build 13-week rolling cash forecast	Early warning system	HIGH
Month 1–2	Factor receivables > €5,000 (cost: 2–3%)	Immediate cash conversion	HIGH
Month 3+	Per-project profitability tracking	Eliminate hidden losses	STRATEGIC
Month 3+	Stop all dividend distributions	Rebuild equity above 30%	STRATEGIC
Month 3+	Diversify client base (target: 5+ clients)	Reduce concentration risk	STRATEGIC

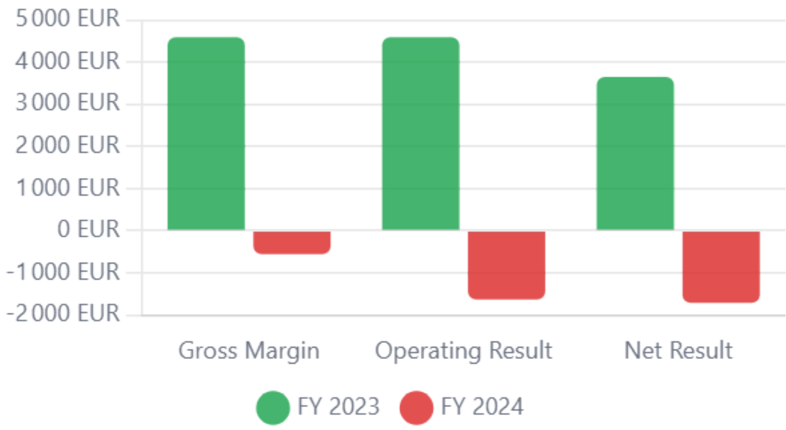
⚠ Base scenario cash runway (49.5 months) is **misleading**. It assumes suppliers continue financing indefinitely. Realistic pressure scenario: **3.4 months**. Plan for the worst case.

03. FINANCIAL DIAGNOSTIC

Revenue & Profitability · Section 1/4

PROFITABILITY SWING: FY2023 → FY2024

Gross margin, net result, ROE, ROA — full reversal in one year



WHAT IS HAPPENING

Gross margin: +€4,591 (FY2023) → −€551 (FY2024). Turned negative.
Net result: +€3,647 → −€1,713. First full year = loss.
ROE: +52% → −32%. ROA: +28.6% → −5.3%.

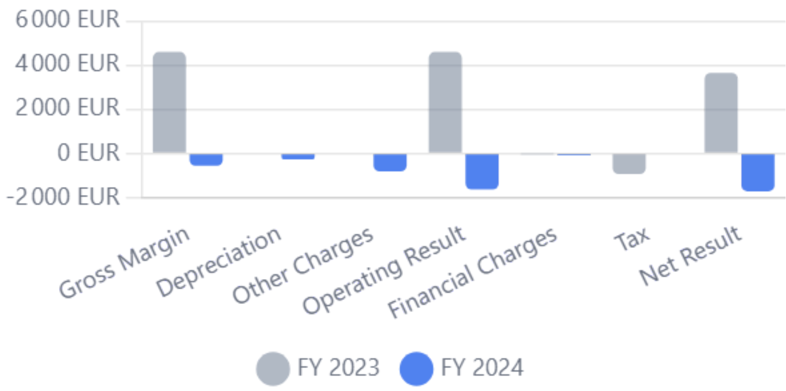
WHY IT MATTERS

Every project you accept deepens losses. Revenue growth = accelerated cash destruction.

● CRITICAL

P&L COMPARISON FY2024 VS FY2023

Revenue grew — but costs grew faster



WHAT IS HAPPENING

Revenue grew but costs grew faster. Gross margin from +8.3% to −1.0%.
Operating charges (personnel, subcontractors) represent ~101% of revenue.

WHY IT MATTERS

The pricing model is fundamentally broken. Fix pricing **before** taking any new work.

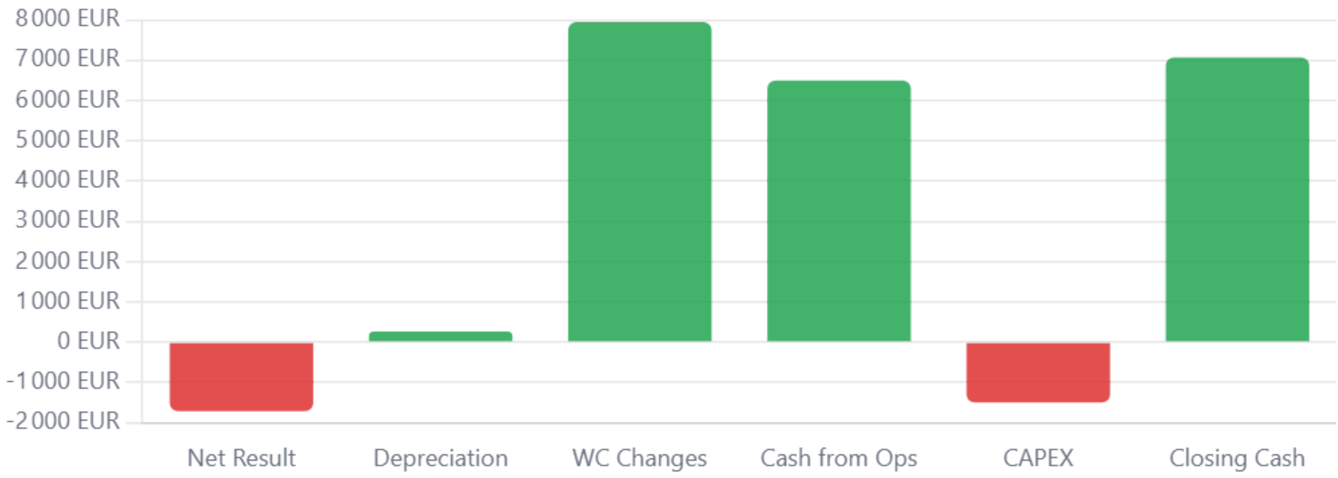
● CRITICAL

03. FINANCIAL DIAGNOSTIC

Cash Flow · Section 2/4

CASH FLOW WATERFALL — FY2024

From net result to closing cash — indirect method reconstruction



WHAT IS HAPPENING

Operating CF (before WC): **−€1,445**. True cash generation is negative.
WC changes contributed +€7,945 — almost entirely from supplier credit (+€17,264 in new payables).
Net cash increase: +€4,999. This is borrowed time, not earned profit.

WHY IT MATTERS + RISK

When suppliers demand payment, €7,065 cash evaporates instantly. 122% of "cash generation" is unpaid bills. This is not a business generating cash — it is a business **delaying insolvency**.

● CRITICAL

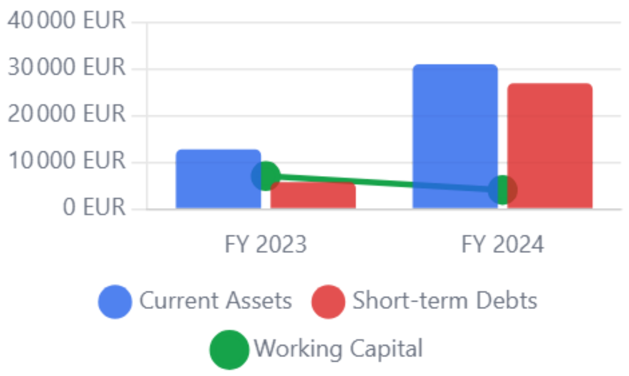
03. FINANCIAL DIAGNOSTIC

Working Capital · Section 3/4

WORKING CAPITAL	NET TRADE POSITION	TRADE RECEIVABLES	TRADE PAYABLES
€4,069	**€3,169**	**€21,706**	**€18,537**
↓ 42% vs FY2023	↓ 64% vs FY2023	↑ 117% vs FY2023	↑ 1,356% vs FY2023

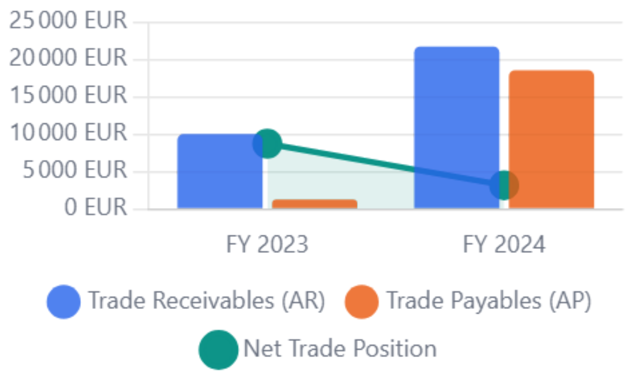
WC EVOLUTION

Current assets vs short-term liabilities



AR VS AP POSITION

You are financing your clients



WHAT IS HAPPENING — WHY IT MATTERS

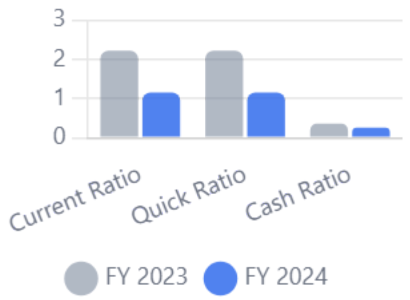
WC fell 42% despite 153% balance sheet growth. You finance your clients: €21,706 in AR vs €18,537 in AP. Net position: you are owed €3,169 more than you owe — but you cannot pay suppliers with uncollected receivables. Growth without collection discipline is self-defeating. Every new project increases AR while cash stays locked in unpaid invoices.

● HIGH

03. FINANCIAL DIAGNOSTIC

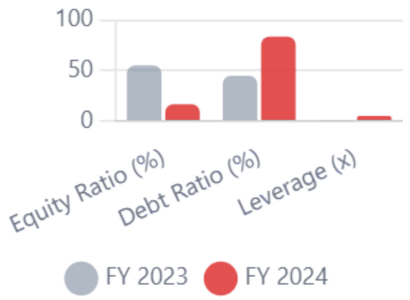
LIQUIDITY RATIOS

FY2023 vs FY2024



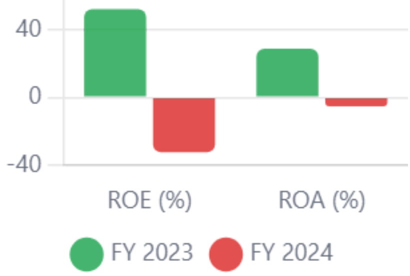
SOLVENCY RATIOS

Capital structure deterioration



PROFITABILITY RATIOS

From profitable to loss-making



WHAT IS HAPPENING

Equity ratio: **16.5%** (critical threshold: 25%). Debt/equity: **5.08×** (safe: <1.5×).
Current ratio: **1.15** (safe threshold: 1.5). Cash ratio: **0.26**.
Zero long-term debt, zero credit facilities, zero reserves.

WHY IT MATTERS

At 16.5% equity, banks will not lend. At 5.08× leverage, the company is technically over-leveraged for any new credit. The only path to financial stability is through profitability — which is currently negative.

● CRITICAL

Ratio	FY2024	FY2023	Status
Current Ratio	1.15	2.22	LOW (<1.5)
Cash Ratio	0.26	0.36	VERY LOW
Equity Ratio	16.5%	55.1%	CRITICAL (<25%)
Debt/Equity	5.08×	0.82×	VERY HIGH
ROE	−32.3%	+52.0%	NEGATIVE
ROA	−5.3%	+28.6%	NEGATIVE

04. SCENARIO ANALYSIS

SURVIVAL HORIZON MODELLING — THREE SCENARIOS

⚠ WORST CASE

3.4

months runway

Cash: €553

NOT VIABLE. A single client default triggers insolvency.

— BASE CASE

49.5

months runway

Cash: €7,065

WARNING: Assumes unlimited supplier financing. Realistic: 3–6 months.

✓ BEST CASE

125.7

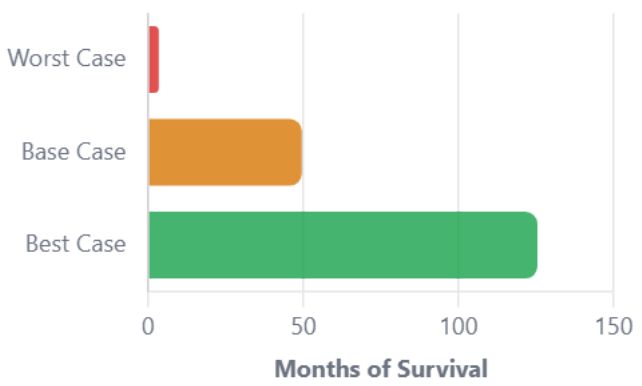
months runway

Cash: €17,918

VIABLE IF: 50% of receivables collected in 30 days. Requires immediate collection action.

SURVIVAL HORIZON

Months of runway under each scenario



CASH BY SCENARIO

Available liquidity comparison

What must be true for success: (1) No client defaults; (2) All new contracts priced at +20%; (3) 50% advance payments from all new clients; (4) Bank credit line secured within 30 days. Without all four conditions, the base case is unsustainable.

05. KEY RISKS & WATCHPOINTS

FIVE CRITICAL RISK FACTORS REQUIRING ACTIVE MONITORING AND MITIGATION

#	RISK	DESCRIPTION	POTENTIAL IMPACT	MITIGATION
1	**Negative Gross Margin**	Losing money on every project in FY2024	Deepening losses with every sale	Immediate price increase +20% on all new work
2	**Supplier Payment Demand**	€18,537 AP could be called at any time	Instant cash crisis, potential insolvency	Formalize 60–90d terms + secure credit line
3	**Client Default Risk**	Top receivable concentration (likely 1–3 clients)	Single default wipes out all cash	Advance payments + invoice factoring
4	**No Financial Safety Net**	Zero credit line, zero reserves, zero provisions	Any shock = insolvency cascade	Apply for €10–15K revolving credit this week
5	**Equity Erosion**	16.5% equity ratio, below all banking thresholds	Loss of creditworthiness, no rescue financing	Stop dividends; restore profitability first

06. STRATEGIC RECOMMENDATIONS

FROM DIAGNOSIS TO ACTION — PRIORITIZED BY IMPACT AND FEASIBILITY

URGENT — 0 TO 2 WEEKS

1. Fix Gross Margin — Raise Prices 20%

Renegotiate ALL in-progress contracts if possible. Minimum +20% on all new work. Implement cost tracking per project.

Impact: Restore GM from −1% to +18% | ***Medium***

2. Accelerate Collections — €10,853 Target

Send formal payment notices to all clients. Require 30–50% advance on every new contract, effective immediately.

Impact: Free €6,500–10,800 in 30 days | ***Easy***

3. Secure €10–15K Revolving Bank Credit Line

Contact your bank today. Present balance sheet + projection. A revolving facility is the minimum safety net.

Impact: Extend worst-case survival from 3.4 → 12+ months | ***Medium***

HIGH PRIORITY — 1 TO 2 MONTHS

4. Formalize Supplier Payment Terms (60–90 days)

Current supplier delays are informal. Formalize to reduce legal and relationship risk.

Impact: Preserve €18,537 cash buffer | ***Easy***

5. Implement 13-Week Rolling Cash Forecast

Weekly visibility on cash position. Flag gaps 4–6 weeks ahead before they become crises.

Impact: Early warning system for cash crises | ***Easy***

6. Factor Large Receivables (>€5,000) — Cost: 2–3%

Immediate cash conversion on major invoices. The 2–3% factoring cost is worth the liquidity.

Impact: Converts €10,000+ receivables to immediate cash | ***Easy***

STRATEGIC — 3+ MONTHS

7. Stop All Dividends Until Equity >30%

Current 16.5% equity is critical. No distributions until profitability and equity are restored above banking thresholds.

Impact: Rebuild creditworthiness and equity base | ***Easy (discipline)***

8. Per-Project Profitability Tracking

Implement job costing for every project. Identify and eliminate loss-making work immediately. No project without a margin target.

Impact: Prevents hidden losses, supports pricing discipline | ***Medium***